

original holder of the position. In some cases, the system will leave all remaining collateral to the keeper as a stronger incentive. Because the penalty for liquidation is high and most collateral types are volatile, platforms generally allow users to top up their collateral to maintain healthy collateralization ratios.

An interesting implication of collateralized loans and token supply adjustment is that collateralization can back the value of a synthetic token. The synthetic token is an asset created and funded by a debt, which has the requirement to repay the synthetic token to reclaim the collateral. The synthetic token can have a utility mechanism or represent a complex financial derivative, such as an option or bond (e.g., Synthetix Synth and Yield yToken; see Chapter 6). A stablecoin that tracks the price of an underlying asset can also be a synthetic token of this type (e.g., MakerDAO DAI; see Chapter 6).

## FLASH (UNCOLLATERALIZED) LOANS

A financial primitive that uniquely exists in DeFi and dramatically broadens certain types of financial access is a *flash loan*. In traditional finance, a loan is an instrument designed to efficiently allocate excess capital from a person or entity who wishes to employ it (lender) to a person or entity who needs capital to fund a project or to consume (borrower). A lender is compensated for providing the capital and bearing the risk of default by the interest amount charged over the life of the loan. The interest rate is typically higher the